

documents. In this context, a “concession” is an amount of money that you request from the seller to help cover some of your costs to buy the home.

Seller concessions can cover things like the inspection fee, appraisal fee, lender fees, and so on. With these concessions in place, you’ll pay less at closing, but you’re also turning yourself into a less appealing buyer.

We’re way ahead of the game, but seller concessions will also typically come into play after the home inspection. This section of the contract can be revised later if your inspector finds something harrowing and you want the seller to cover the cost of the repair after you move in—think big-ticket items like plumbing, electrical, or foundation problems. Or mold. Or a noxious amount of radon gas. You get the point.

Earnest Money

Along with your offer, you will be submitting an earnest-money check. This shows the seller you are serious about your offer, and you’re willing to put your money where your mouth is. The amount of earnest money will be dictated by the listing, but this number is the *minimum* amount required. If you’re up against competition, you can always make your offer stronger by increasing the amount of earnest money.

Fortunately, your earnest money payment doesn’t disappear. It’s credited toward your down payment at closing. For example, if you write a \$10,000 check for earnest money, that will then roll over to cover some of your down payment and closing costs. If your down payment and closing costs happen to be less than that amount, you will get a refund after the house is yours.

Unfortunately, earnest money can be forfeited to the seller if you do not comply with the terms of the contract or if you miss a deadline. Your agent should help keep you on schedule with your dates and deadlines, but you want to make sure you’re on top of them as well. Enter everything into your calendar and set alerts for the day before to make sure you stay on top of all you need to do. Though your agent should help remind you, *you* are the one who will be hurt the most if you miss a deadline.

When making an offer, you can present earnest money as a photocopy of the check. (You don’t want to actually deliver the money until the offer is legally accepted.) The check should be made out to either the listing agent’s brokerage, an attorney, or a title company. Never make out the check to the